

MBIA INC MBISeptember 08, 2026 - 2:48pm EST
by

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Price:	4.55	EPS	0	0
Shares Out. (in M):	51	P/E	0	0
Market Cap (in \$M):	232	P/FCF	0	0
Net Debt (in \$M):	907	EBIT	0	0
TEV (in \$M):	1,139	TEV/EBIT	0	0

Description

This is a small cap special situation investment with only about \$2.5mm of ADV so it's only suitable for small funds and personal accounts. It's also not a screamer of an investment return but I still think it's very attractive given its low risk and no correlation to the market.

I've covered MBIA for a very long time and have written up the GFL notes on VIC twice (2025 and 2020). I still think the GFL notes are a much better investment and own those in much larger size than the common stock. The benefit of the stock over the bonds is simply that the share price is much more volatile than the bonds so the stock may simply trade 20-30% higher for no real reason (other than it being too cheap right now) while the bonds just accrete higher. The catalyst for both is a sale of the company. I would suggest reading both of my GFL write-ups for more context.

Background

MBIA is a bond insurance company which has been in run-off (has not written a new insurance policy) for roughly 10 years. MBIA Inc. ("Inc.") is a holding company which owns two operating bond insurance companies, National Public Finance Guarantee Corporation ("National") and MBIA Insurance Corporation ("Corp."). The two insurance companies is a relic of a "good-bank, bad-bank" restructuring during the GFC. Corp. is not relevant to the equity story of MBIA as it has \$106mm of statutory capital and \$2.75B of surplus notes (\$953mm face and \$1.8B of unpaid interest) so there is no chance of MBIA equity getting any value from Corp. It has taken considerable effort to ring-fence Corp. from Inc. such that a rehabilitation of Corp. should not have any material deleterious impacts on Inc.

So MBIA Inc. is essentially a holding company with cash/investments and debt which owns 100% of National which has significant value. The book value of the company as of 2Q26 is \$13.01/share while the stock currently trades at \$4.55 or 0.35x book. The key to the equity story is assessing how solid that book value is (we think very solid) and time to monetization. We'll break down the book value next.

Book Value

Accounting book value and real, monetizable book value are two different things. There are aspects where GAAP can be conservative and where it can be aggressive. Below I break down what I think the real book value of the company is, conservatively calculated. As I'll get to later, I still think MBIA's reported adjusted book value is relevant when comparing it to the adjusted book value of the most likely acquirer, Assured Guaranty ("AGO"), since it is closer to an apples to apples comparison.

Inc. is the easy part as it just has cash/investments and debt. It has \$606mm of cash and investments. It also has \$175mm of investment agreements (essentially debt), \$475mm of GFLs, and \$565mm of Inc. debt. National, however, owns \$308mm of the Inc. debt so we can reduce the debt by that amount for the consolidated (Inc. + National) group. So Inc. has \$606mm of cash/investments and \$907mm of debt. It also has \$29mm of "other assets" and \$67mm of "other liabilities" for \$38mm of net "other liabilities." This is negative \$339mm of book value at Inc. but let's round it to negative \$350mm to haircut the "other assets" to be conservative (most of these are accrued interest, both asset and liability, and intercompany assets and liabilities, so I think both are mostly legit but an \$11mm adjustment is pretty small either way). This is essentially rock solid and not subject to change. The rest of the book value comes from National.

National has a book value of \$1,101mm but it has its \$308mm of MBIA Inc. debt marked at \$273mm, so after deducting that, we have \$823mm of book value. It has \$151mm of unearned premium liability which will simply burn down over time (can be added back) and it has \$47mm of deferred acquisition costs as an asset which I remove. So this gets us to \$927mm of value.

The rest of the assets (basically just cash/investments) and liabilities (nothing to speak of) are solid. The main swing in value for National going forward will be its future losses on current policies and the recovery value associated with those claims payments. It currently lists \$213mm of "loss and LAE reserve" (net losses on troubled credits) and \$27mm of "insurance loss recoverable" (recovery value on already paid claims).

PREPA is the obvious and most important aspect to this LAE/recovery review but I am going to save that for last as it will be the most detailed. I will now cover two other credits: LCOR Alexandria and TRIP II. LCOR because it is classified and National has made claims payments on this credit and TRIP II because its accreted par is so large.

LCOR Alexandria

This is an office complex in Alexandria, VA built around 2000 for the U.S. Patent and Trademark Office ("USPTO"). The original campus consisted of 5 office buildings totaling roughly 2.4mm rentable square feet. As work-from-home took off during COVID the federal government was looking for ways to reduce its office footprint and identified the LCOR complex as one of its targets. In 2022 it notified the building owner that it would not renew its lease for 2 of the building leases that expired in August 2024, or just under 1/3rd of the rentable square feet. Once they lost these leases, MBIA began making claims payments and established a loss reserve. However, some positive events have occurred this year. USPTO extended its leases on the other 3 buildings through 2030. It also requested to lease an additional 500 parking spaces in one of the garages. So USPTO is not only not reducing any more space in this complex but could potentially be adding space. And the National Science Foundation leased one of the vacant buildings representing more than half of the unleased space.

MBIA has \$362mm of par value insured on this property (1st lien) and the complex is back to making scheduled interest and amortization payments as due. It amortizes down every quarter and we see low to no risk of any losses associated with this credit.

TRIP II

This is the borrower for a privately owned toll road in Loudoun County, Northern Virginia. I highlight this because the asset has massively underperformed relative to expectations, and although National *only* has \$290mm of gross par outstanding, it has \$1.1B accreted par.

I won't go through this one in detail, but despite its challenges, we view this credit as very safe. TRIP II entered 2026 with \$200mm of cash. It generated \$84mm of revenues last year, +7% YoY without a toll increase so entirely on volume, and had \$21mm of expenses for \$63mm of cash flow before debt service and investment income. With interest on the cash, the road currently generates \$70-75mm of cash per year. Debt service (interest + amortization) is about \$70mm this year so its cash flow roughly matches its debt service. The debt is structured such that the annual debt service essentially increases nominally each year (increases to \$81mm by 2035 but steps back down to \$70mm in 2037 and slowly back up to a peak of \$85mm by 2056, when all debt will be paid off). You can think of this similarly to a mortgage such that interest is the vast majority of the debt service right now but as we move forward in time, more and more debt principal is being paid down each year. So even though cash flow only narrowly covers debt service right now, if cash flow only increases by inflation annually, the cash on the balance sheet will build substantially over time. And even if results are worse than this, principal is being paid down each year, so if the company can't meet its debt service in say 10 or 15 years, you are still sitting only a nice cash flowing asset with much less debt than today.

Others

I won't go through any other BIG (below investment grade) credits here. They are all small and nothing is terribly stressed (if any trouble were to arise, loss severity would be small). Having done extensive work on many of their credits and tracking National's historical reserving, I feel confident on how they handle their reserving. They flag early, and are quick to reserve (LCOR being a good example). When they do reserve losses, I find they are typically reasonably conservative in valuing recoveries (PREPA a good example here).

PREPA

PREPA is the major swing factor for National and thus for MBIA's equity value. To start very high level, PREPA has ~\$8.5B of debt and is the monopoly electric utility (power generation and transmission and distribution) for Puerto Rico's ~3 million people. As the monopoly provider of an essential service, the value of this asset can almost be whatever you want (depending on what you want to charge for power). PREPA has been in bankruptcy for about 10 years and its power infrastructure needed upgrades since long before the bankruptcy such that Puerto Rico's power prices are already one of the highest in the country. We believe that once PREPA exits bankruptcy, it will be able to rebuild the power infrastructure and will be able to generate significant profitability without increasing power prices. PREPA bondholders have already proposed a deal that would inject \$2.5B of new money into PREPA and FEMA has committed \$10B specifically for energy infrastructure (PREPA needs to spend the money first before getting reimbursed by FEMA which is why they have not accessed this capital yet) so there is ample capital available to fully upgrade all of PREPA's energy infrastructure.

Despite originally offering bondholders ~80c of recovery (plus upside), when bondholders rejected this proposal, the Oversight Board (essentially a political body formed to represent PREPA/Puerto Rico in negotiations with creditors) went scorched earth against the bondholders and have been trying to present legal arguments to reduce the bondholders' recovery as low as they possibly can (which of course the bondholders have been fighting). The bondholders have, more or less, been winning this fight over the years. Because of certain legal wins, the Oversight Board increased its settlement offer in June to \$3B (~35c of recovery) from its previous offer of \$1.6B. The bondholders rejected this offer and did not make a counter proposal. Fortunately for the bondholders, this is a proper legal process, and while it has taken an extremely long time with a lot of unnecessary legal costs, it is progressing favorably for the bondholders and there is an end in sight.

The most important legal win occurred in 2024 when the First Circuit ruled that the bondholders have a perfected lien on all "Net Revenues," immediately as they are created, in the past, present, and future. The judge pushed the actual calculation of the value of these Net Revenues back down to the district court which will have oral arguments beginning this month. Once the value of the Net Revenues is determined, the case will be on its path to exit as this will essentially be what the bondholders are owed.

Separately, the bondholders are suing for "administrative status" (senior in priority than even secured claims) for the Net Revenues that have been generated throughout the bankruptcy (since it has been established that the Net Revenues are the collateral for the bondholders and PREPA has spent this collateral, diminution in value of secured collateral is entitled to adequation protection payments which the bondholders have not received so the bondholders should be entitled to an admin claim for this portion of their secured claim).

While we feel the success of the admin claim is fairly moot (sure, it would be nice to have admin status but the collateral belongs to the bondholders so the value of the collateral is much more important than getting higher priority status), but since it has been through the district court (rejected by Judge Swain in March) and is currently underway in the First Circuit, there is more information about the Net Revenues in this case.

The Trust Agreement required PREPA to calculate its Net Revenues monthly, which it had done since issuance and continued to do so for a period during bankruptcy. It later stopped reporting this figure but discovery showed that it continued to do the calculation internally through June 2023. Using simply PREPA's own numbers, PREPA generated \$3.7B of Net Revenues from the petition date through June 2023. While one would think this would be difficult to refute, the Oversight Board's argument is that these reports were incorrectly calculated and the actual amount of Net Revenues using the correct calculation is near zero or negative.

Based on our reading of the filings and all the facts presented, we feel the bondholders have a very strong case. Pursuant to the Monthly Operating Reports and required Trust Agreement reports, PREPA generated \$500mm+ of Net Revenues for the first seven years of bankruptcy. We are another three years and counting of essentially accrued Net Revenue collateral and the present value of future Net Revenues also must be determined. The Oversight Board's 5th amended plan included issuing \$2.6B of new revenue bonds payable by Net Revenues. Bonds need to be overcollateralized by value so this offer implies the Board felt the future value of Net Revenues must be over \$3.0B at a minimum. If historical Net Revenues were \$4B+ and future Net Revenues are \$4B+, the bonds own collateral will be worth as much or more than 100c of recovery.

PREPA's Relevance to MBIA

As of 2Q26, National has \$425mm par value of PREPA remaining insured and it has \$213mm of losses reserved. Let's assume \$33mm are reserves for other credits (although it's possible and even likely these reserves are entirely for PREPA which would imply an even lower recovery) which would be \$180mm of losses reserved for PREPA. Against \$425mm of exposure, MBIA is reserving 42% (180 / 425) for PREPA or a 58c recovery. In late 2025, MBIA sold \$374mm of PREPA claims for right around this context so this recovery estimate makes sense. Although as highlighted above, there is a very plausible case for a much higher recovery, potentially up to par or higher.

With help from ChatGPT, we tried to estimate where AGO was marking its PREPA exposure. Below are AGO's riskiest credits:

Credit	Net Par*	Rating*	How I'd view it	
Thames Water	~\$2.4B	B	Largest tail risk	
Brightline Florida	~\$1.13B	B	Most immediate deterioration	
Westchester Medical Center	~\$540M	BB+	Watch	
PREPA	~\$464M	CCC	Legacy problem, heavily reserved/worked through	
Palomar Health	~\$374M	CCC	Meaningful healthcare problem	
Jackson Water & Sewer	~\$140M	BB	Watch	
Stockton, CA	~\$82M	B	Legacy stressed muni	
MFA	~\$75M	B	Stressed	
Harrisburg Parking	~\$70M	B	Legacy stressed credit	
Indiana Univ. of PA	~\$50M	CCC	Small	

AGO has total consolidated gross loss and LAE of \$305mm. Below is ChatGPT's reserve estimates for AGO:

A plausible decomposition might look like this:

Credit / sector	Rough gross reserve
Thames Water	\$60–80m
Brightline	\$60–80m
U.S. healthcare	\$30–50m
UK healthcare / renewables / student housing	\$25–45m
RMBS / structured / other	\$20–35m
Subtotal ex-PREPA	\$195–290m
Residual for PREPA	~\$15–110m

Even near the high end of the estimated range of \$100mm for PREPA, this implies 22% (100 / 464) of loss reserves, or a 78c recovery. So AGO is likely booking ~20c of more recovery for PREPA than MBIA (this is impactful for both future loss reserves and salvage recovery on PREPA claims already paid).

Book Value Summary

Summarizing the above, Inc. has negative \$350mm of book value and National has \$927mm of book value. This is \$577mm of value to shareholders or \$11.31/share which is all pretty solid (mostly cash and investments less debt) and reserves conservatively taken. Paying \$4.55/share or \$232mm seems attractive to us. National likely has ~\$85mm of upside on PREPA using our estimated recovery value used by AGO and potentially more if the Net Revenue determination in court is favorable for bondholders.

AGO is the Most Likely Acquirer of MBIA

Recall from the beginning that MBIA is currently trading at 0.35x its own reported adjusted book value. AGO also does an adjusted book value calculation, but the major discrepancy is that AGO, as an operating bond insurer, adds essentially a present value of future earnings. Since MBIA hasn't written a material policy in nearly 20 years and is simply liquidating, it doesn't have a future earnings stream to add back. When you remove the tax-adjusted impact of this add-back, AGO is trading at 0.57x adjusted book value.

AGO could easily pay \$6.50/share or 0.5x ABV for MBIA and have it be a highly accretive transaction. Not only are there synergies to be achieved, but the pooling of insurance exposures would almost certainly allow for a large special distribution from the operating insurance companies. We believe that AGO could achieve an equal if not greater distribution from National than its purchase price so it could essentially buy MBIA with its own money. Also recall that AGO is likely marking PREPA ~20c higher than MBIA so it would receive an \$85mm (\$1.67/shr on MBIA's share price) uplift by marking PREPA higher.

National is also a current taxpayer while MBIA has \$4.3B of consolidated NOLs as of year-end 2025. These are difficult to maintain in a sale but they aren't worthless either. We believe AGO would be able to capture \$50-100mm (\$1-2/shr) of value from MBIA's substantial NOLs.

Shareholder Activity

Lastly there have been two notable shareholders that have recently increased their stake in MBIA above 5%. The first is Leeam S. Lowin, a private investor that disclosed owning 6.5% of MBIA's shares in a 13G filed in July. As a private investor, he is only required to disclose his ownership in stocks if he crosses above 5% of a company's shares, something he has done since the 1980s. His most interesting comparable case is when he disclosed a 6.1% stake in AEL Industries in the late 80s. He eventually built a position greater than 25% in the company, joined the board, and facilitated a sale to Tracor. Each of his other public investments we were able to find resulted in a sale of the company so his interest in MBIA certainly tracks his prior investments.

Kahn Brothers has also increased its stake in MBIA to 8.3% this year. Kahn has owned MBIA equity on and off since 2007. It owned 0 shares as recently as 2Q25 and has built its stake to over 8% as of 2Q26, with the bulk of the purchase in the second quarter of this year.

While the CEO and board member Bill Fallon owns 5.5% of MBIA's shares, we believe the principal-agent dynamic is partly to blame for why MBIA hasn't sold itself yet. Management earns attractive salaries while simply letting an insurance portfolio run-off. There is not much incentive for management to want to sell this company while its value is reasonably static and they can continue to collect attractive compensation. We believe just Leeam Lowin and Kahn Brothers with nearly 15% of the shares outstanding have the voting power to force a sale if desired.

I do not hold a position with the issuer such as employment, directorship, or consultancy.

I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

- MBIA share price volatility (value doesn't change much but the shares are highly volatile- the stock is currently trading at or near its lowest P/B in history while fundamentals are at its strongest in many years)
- Net Revenue and Admin Claim oral arguments this month with opinions late this year or early next. PREPA bankruptcy exit could be imminent following a favorable Net Revenue ruling
- Increased shareholder concentration with potential for activism and forced sale

Messages

Subject	GFL repurchases at a discount
Entry	09/08/2026 03:17 PM
Member	abcd1234

Something I meant to include but forgot in the write-up that can and should provide further upside to MBIA equity are GFL repurchases at a discount. As known by my write ups of the GFL 2033s, MBIA's GFL notes trade at huge discounts to carrying value. MBIA Inc. has plenty of liquidity to capture this substantial discount which adds directly to book value. We think MBIA could capture north of \$50mm (\$1/shr) of value repurchasing GFL notes at a large discount.